



MASENO UNIVERSITY
UNIVERSITY EXAMINATIONS 2024/2025

**THIRD YEAR FIRST SEMESTER EXAMINATIONS FOR THE
DEGREE OF BACHELOR OF ARTS IN ECONOMICS WITH
INFORMATION TECHNOLOGY**

MAIN CAMPUS

BEC 318: MANAGERIAL ECONOMICS

Date: 3rd February, 2025

Time: 8. 30 - 11. 30 am

INSTRUCTIONS:

- DO NOT write anywhere on this question paper
- Answer question ONE and any other THREE questions



QUESTION 1:

"The basic principle of Business Decision is that a particular action is worth if adds more to benefits than to costs". The only variables to be taken into account in any decision are those affected by the decision. Clearly provide your managerial understanding of this thought. (25 marks)

QUESTION 2:

Provide the two rules of Marginal Analysis in Business Management. Demonstrate using diagrammatic and geometric analysis. (15 marks)

QUESTION 3:

Provide the key forces that cause managers to act in the interest of shareholder rather than pursue profit maximization strategy (15 marks)

QUESTION 4:

Discuss the significance of the profit maximization hypothesis in the economic goal of the firm and optimal decision making. (15 marks)

QUESTION 5:

Providing relevant examples, show the difference between a shut down and an exit of a firm. (15 marks)

QUESTION 6:

A monopolist has the following Revenue (R) and Cost (C) functions.

$$R(Q) = -\alpha Q^2 + \beta Q \quad (\alpha, \beta \text{ greater than } 0)$$

$$C = aQ^2 + bQ + c \text{ where } (a, b, c \text{ are greater than } 0)$$

Suppose the government plans to levy an excise duty tax on this product of the firm and wishes to maximize the tax revenue (T) from this source.

- What tax rate (t) per unit of output should the Government choose (5 marks)
- Provide an objective function (2 marks)
- Write down the tax revenue function (3 marks)
- Does this tax rate indeed maximize rather than minimize the tax revenue.(5 marks)